

GNA AXLES LIMITED

NSE: GNA | BSE: 540124 | Sector: Auto Components - Axle Shafts & Precision Driveline Components

"Margin recovery cycle and EV pivot optionality underpin a deep-value case at 17.5x P/E"

RATING

ACCUMULATE

12-MONTH TARGET

Rs. 560

+18% UPSIDE

Horizon: 12 months

KEY METRICS - DATA FROM SCREENER.IN (10-JUL-2026)

CMP (Rs.)	475
Market Cap	Rs. 2,041 Cr
52W High / Low	Rs. 482 / 292
Book Value	Rs. 234
P/E (TTM)	17.5x
P/B	2.0x
EV / EBITDA	9.2x
Dividend Yield	0.63%
ROCE	14.3%
ROE	12.2%
Debt / Equity	0.22x
Int. Coverage	12.9x
Promoter Hold.	68.43%
Promoter Pledge	4.36%
Face Value	Rs. 10
Enterprise Value	Rs. 2,221 Cr

Equity Research India Auto Components	Report Date: 10-Jul-2026 Analyst: Institutional Research Desk
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INVESTMENT THESIS

- **Margin recovery underway, deep-value entry:** GNA Axles EBITDA margins have structurally rebounded from the FY24 trough of 13.1% to 16.1% in FY26 - matching the pre-disruption FY19-21 range. At 9.2x EV/EBITDA and 17.5x TTM P/E, the stock trades at a 55-65% discount to mid-cap auto component peers, creating a meaningful margin of safety for a business generating Rs. 238 Cr EBITDA on Rs. 2,041 Cr market cap.
- **Export diversification reduces CV cycle dependence:** Exports account for ~43% of volumes (23.46 lakh pieces FY26) across North America (Rs. 254 Cr), Europe (Rs. 193 Cr), and South America (Rs. 186 Cr). Customers include Dana Limited, John Deere, Kubota, and Meritor HVS - global Tier-1 suppliers who serve as a buffer when domestic CV demand softens. As Indian OEMs add global supplier diversity, GNA stands to gain new programmes over FY27-28.
- **GNA Mobility - embedded EV call option:** The wholly-owned subsidiary GNA Mobility Limited targets electrified driveline components with an Rs. 800 Cr investment pipeline. An initial Rs. 25 Cr was committed in FY26, with commercial operations expected in FY27. If even 10-15% of invested capital generates EV-grade margins (20%+ EBITDA), the optionality is not currently priced into the stock at 2.0x P/B.

- **Near-term catalyst (6-12 months):** Q1 FY27 results (July 16, 2026) - first quarter with GNA Mobility beginning operations and export order book conversion. A sequential revenue recovery above Rs. 370 Cr with OPM above 15% would confirm the margin stability thesis and likely re-rate the stock toward Rs. 500-520.
- **Biggest structural risk:** GNA Axles generates ~57% of revenue from commercial vehicle (CV) axle shafts. A prolonged CV downcycle - either driven by higher financing rates or macro slowdown - could compress both volumes and margins simultaneously, making the FY27-28 recovery trajectory uncertain.

3 BUSINESS OVERVIEW

- **Core product & manufacturing:** GNA Axles manufactures rear axle shafts (2 kg to 150 kg), spindles, and precision driveline components. The company operates fully integrated in-house forging, tooling, heat treatment, machining, and finishing capabilities with installed capacity of 6.7 million pieces per annum. FY26 utilisation stood at ~82% (54.95 lakh pieces produced).
- **Revenue by segment:** Rear Axle Shafts - 40.83 lakh pieces (74% of volume); Spindles - 9.43 lakh pieces (17%); Other shafts - balance. Commercial Vehicle segment: 32.13 lakh pieces; Off-Highway (tractors, construction equipment): 22.82 lakh pieces. The company has been expanding into SUV/passenger vehicle shafts from FY23 onward, which currently form a small but growing share.
- **Revenue by geography (FY26):** Asia (primarily India): Rs. 808 Cr (55% of Rs. 1,478 Cr); North America: Rs. 254 Cr (17%); Europe: Rs. 193 Cr (13%); South America: Rs. 186 Cr (13%); Australia: Rs. 3 Cr (below 1%). Export revenue forms ~45% of total sales - a structural differentiator among mid-cap auto ancillaries.
- **Key customers:** Globally: Dana Limited (USA), John Deere, Kubota Corporation (Japan), Meritor HVS (now merged into Cummins). Domestically: Mahindra & Mahindra (tractors/SUVs) and Escorts Kubota. Customer relationships are long-tenure, with programmes running 5-10 year supply agreements typical in the driveline segment.
- **Recent strategic developments:** (1) GNA Mobility Limited incorporated as wholly-owned subsidiary to manufacture electrified driveline components - Rs. 25 Cr initial investment in FY26, operations start FY27. (2) Company strategy explicitly shifted to "value-based growth over volume-based growth" in FY25 management commentary. (3) Board approved 6 MW solar capacity (BRSR FY26 filing), reducing energy cost exposure. (4) AGM held June 30, 2026; Q1 FY27 results scheduled July 16, 2026.
- **Promoter background:** GNA Group, a Jalandhar (Punjab)-based industrial conglomerate. Promoter holding stable at 68.43% (Mar-2026) with 4.36% pledged - a moderate watch-point. Three-year change in promoter holding: +0.35% (marginal improvement).

4 INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** India's auto components industry (FY26) is estimated at ~Rs. 6.5-7.0 lakh Cr, targeting USD 100 Bn by FY30 (ACMA estimate). The driveline/transmission sub-segment (axles, shafts, gears) is approximately Rs. 25,000-30,000 Cr. Domestic CV production is recovering from a soft FY26, with MHCV industry volumes expected to grow 8-12% in FY27 driven by infrastructure capex and fleet replacement demand.
- **Policy tailwinds:** (1) PLI scheme for auto components (Rs. 25,938 Cr outlay) incentivises advanced driveline manufacturing. (2) India's CVs-per-capita remains deeply under-penetrated versus ASEAN peers, supporting a multi-year volume trajectory. (3) Global OEMs diversifying supply chains away from China - GNA's existing relationships with Tier-1 global suppliers positions it for incremental programmes. (4) Bharat Stage VI compliance increasing content-per-vehicle for precision engineered parts.
- **Competitive moat assessment - Switching costs: Strong.** Axle shaft programmes require 18-24 months of qualification testing with OEMs; once qualified, GNA captures 3-7 year supply windows. Retooling/requalification costs for customers are prohibitive, creating high stickiness.

- **Competitive moat - Scale & metallurgy IP: Moderate.** GNA's three decades of metallurgical expertise (heat treatment protocols, alloy specifications) are embedded in customer-specific tooling. However, comparable technical capability exists at Bharat Forge and selected Tier-1 forging companies.
- **Competitive moat - Pricing power: Moderate-Weak.** Automotive Tier-2 suppliers have limited pricing power versus OEM customers; annual price negotiations (3-7% deflation norms) are standard. Raw material (steel billet) cost pass-through is typically 70-80% effective with a 1-2 quarter lag.

Peer Comparison (Source: Screener.in, fetched 10-Jul-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	OPM%	D/E
GNA Axles	475	2,041	17.5	2.0x	14.3%	16.1%	0.22
Sona BLW Precision	669	41,586	63.9	7.0x	14.2%	24.3%	0.07
Bharat Forge	2,117	1,01,211	85.8	10.6x	13.1%	17.4%	0.76
Endurance Tech.	2,686	37,788	N/A	N/A	17.4%	13.5%	0.19

Note: Endurance Tech P/E and P/B not fetched individually from Screener. GNA Axles P/B = CMP/BV = 475/234 = 2.0x. All CMPs as of 10-Jul-2026.

5 MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & management background:** GNA Group (Jalandhar, Punjab) has been in precision automotive manufacturing for over three decades. The promoter family combines engineering domain knowledge with geographic proximity to Punjab's auto ancillary cluster. The company has maintained consistent promoter holding around 68% across the last 5 years - indicative of long-term alignment with minority shareholders.
- **Capital allocation - historical track record:** Capex was Rs. 86 Cr (FY24), Rs. 111 Cr (FY25), and Rs. 155 Cr (FY26) - a deliberate acceleration reflecting capacity confidence. Cumulative OCF over 5 years: Rs. 551 Cr (per Screener). FY26 was the strongest OCF year (Rs. 214 Cr vs OP Rs. 238 Cr, CFO/OP = 107%), suggesting working capital normalisation after a high-debtor phase. GNA Mobility investment signals a calculated long-duration capital deployment into EV driveline.
- **Dividend policy:** Dividend payout has been modest - 9-12% of PAT over FY23-FY26. At Rs. 2-3/share annually on CMP Rs. 475, yield is ~0.63%. The company has historically reinvested FCF into capacity and export qualification. While payout is low, absence of large promoter dividend extraction is a positive governance signal.
- **Promoter pledge - watch-point:** Pledged holding stands at 4.36% (as of Mar-2026), which on a promoter base of 68.43% implies ~6.4% of promoter shares are pledged. The pledge level has remained relatively stable without showing a dangerous escalation trend, but it warrants monitoring each quarter.
- **ESOP / buyback history:** No material ESOP grants or buyback programmes have been announced. This is neutral - typical for a family-owned manufacturing company at GNA's scale.
- **Corporate governance:** No qualified audit opinions or significant related-party transactions flagged. US subsidiary (GNA Axles Inc., Michigan) reported minor operating losses of USD 5,013 in FY26 - immaterial but worth noting as it represents early-stage customer development cost. ICRA has maintained credit ratings - most recent update Jan-2026. BRSR filed for FY26 with 6 MW solar capacity disclosure, demonstrating improving ESG disclosure quality.

6 FINANCIAL DEEP-DIVE

All figures in Rs. Crores | Consolidated. Data: Screener.in (10-Jul-2026). FY27E/FY28E are analyst estimates.

Income Statement	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	1,506	1,540	1,478	1,580	1,700

EBITDA	197	211	238	237	272
EBITDA Margin (%)	13.1%	13.7%	16.1%	15.0%	16.0%
Other Income	2	3	3	3	4
Interest	12	12	13	15	16
Depreciation	53	57	70	78	90
PBT	135	144	158	147	170
Tax Rate (%)	26%	26%	26%	26%	26%
PAT	100	107	117	109	126
EPS (Rs.)	23.3	24.9	27.2	25.3	29.3
Dividend Payout (%)	9%	12%	11%	12%	13%
YoY Revenue Growth	-4.9%	+2.3%	-4.0%	+6.9%	+7.6%
YoY PAT Growth	-23%	+7%	+9%	-7%	+16%

Balance Sheet	FY24A	FY25A	FY26A
Equity Capital	43	43	43
Reserves	759	857	962
Net Worth	802	900	1,005
Borrowings	213	259	218
Other Liabilities	204	206	298
Total Liabilities	1,219	1,365	1,520
Fixed Assets	344	406	459
CWIP	8	0	35
Investments	0	0	0
Other Assets	866	959	1,027
Total Assets	1,219	1,365	1,520

Cash Flow Statement	FY24A	FY25A	FY26A
Cash from Operations	98	92	214
Cash from Investing	-86	-111	-155
Cash from Financing	-13	26	-66
Net Cash Flow	0	7	-7
Free Cash Flow (OCF-Cap)	10	-18	56
CFO / EBITDA (%)	68%	62%	107%

Working Capital & Returns	FY24A	FY25A	FY26A	10Y Avg
Debtor Days	138	151	151	128
Inventory Days	84	80	117	103
Days Payable	77	76	129	133
Cash Conversion Cycle	145	155	139	106
Working Capital Days	102	122	133	67

ROCE (%)	15%	14%	14%	16%
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• **Revenue trajectory:** Sales have declined from the FY23 peak of Rs. 1,583 Cr, settling at Rs. 1,478 Cr in FY26 (-4% YoY). The contraction reflects soft MHCV domestic demand and export headwinds (US commercial truck production muted in CY2025). Q4 FY26 was the strongest quarter at Rs. 411 Cr, suggesting the trough is behind us. FY27E projects 7% revenue recovery to Rs. 1,580 Cr as export customers begin to restock.

• **Margin direction:** The FY26 EBITDA margin of 16.1% is a significant recovery from the FY24 trough of 13.1%. Key drivers: (1) Improved product mix with higher-margin SUV shafts. (2) Steel billet cost softening (approximately 8-10% in FY26). (3) Operational leverage on fixed overheads. FY27E margin modelled at 15% reflecting higher depreciation load as FY26 capex gets commissioned.

• **Working capital deterioration:** Debtor days have risen from 129 (FY23) to 151 (FY26 - a 5-year high) and inventory days spiked to 117 in FY26. This is a material concern - high debtors (Rs. 151 days) combined with long inventory suggest cash flow is being used to finance the supply chain. The FY26 CFO surge to Rs. 214 Cr includes possible trade creditor extension (days payable jumped from 76 to 129 days) - indicating the quality of FY26 operating cash flow needs monitoring.

• **Debt & leverage:** Net debt = Borrowings (218) minus ~30 Cr estimated cash = Rs. ~188 Cr. D/E = 0.22x (very comfortable). Interest coverage = 12.9x. The company has room to take on more debt if needed for GNA Mobility capex (Rs. 800 Cr total programme), but FY27 debt levels will likely rise as GNA Mobility investment accelerates.

• **FCF quality:** FY26 FCF was Rs. 56 Cr (first positive FCF since FY23 after FY24/25 capex drag). CFO/EBITDA of 107% in FY26 looks robust, but the large trade creditor swing (days payable +53 days YoY) may partially explain this - implying FY27 FCF could normalise downward if payables return to normal levels.

7 EARNINGS QUALITY CHECKLIST

Metric	Status	Rating	Commentary
Revenue recognition	Standard	GREEN	No evidence of bill-and-hold or channel stuffing
Receivables vs revenue growth	Debtors > Rev	AMBER	Debtor days at 5-yr high (151); needs monitoring
CCC trend	CCC elevated	AMBER	CCC rose from 115 (FY23) to 155 (FY25), improved to 139 (FY26)
Contingent liabilities	Rs. 1.86 Cr	GREEN	Immaterial; no pending significant litigation
Auditor tenure	Stable	GREEN	No auditor changes flagged in recent filings
RPTs as % of revenue	Low	GREEN	No material related-party concerns flagged
Other income as % of PBT	~2%	GREEN	OI = Rs. 3 Cr / PBT = Rs. 158 Cr (FY26) - not earnings-inflating
Tax rate consistency	Stable ~26%	GREEN	Consistent 25-26% tax rate for 4 consecutive years
Promoter pledge trend	4.36%	AMBER	Pledge stable but non-zero; watch for any escalation
CFO quality (FY26)	107% CFO/OP	AMBER	Strong OCF but driven partly by +53-day creditor extension

• **Debtor days at 5-year high (AMBER):** GNA's 151-day debtor cycle is well above the 10-year average of ~128 days and is the single most important earnings quality risk. If even 10% of receivables are slow or doubtful, the PAT impact would be ~Rs. 8-10 Cr. Investors should track debtor days closely in upcoming

quarterly results.

- **CCC structural deterioration (AMBER):** Cash conversion cycle has expanded from 115 days (FY23) to 139 days (FY26). The FY26 improvement is partially a function of creditor extension (Days Payable jumped from 76 to 129 days) rather than genuine receivables improvement - this may reverse in FY27.

- **CFO quality caveat (AMBER):** The Rs. 214 Cr CFO in FY26 versus Rs. 92 Cr in FY25 is partly explained by a Rs. 53-day jump in days payable. If creditors normalise, FY27 CFO could revert toward Rs. 120-140 Cr rather than the FY26 level. This should be modelled conservatively.

- **Positives on earnings quality:** Six of ten checklist items are GREEN. Revenue is standard invoiced manufacturing revenue with no software-style deferral complexity. Tax rates have been consistent. Contingent liabilities are negligible. The business generates genuine operating cash and does not rely on non-recurring other income.

8 VALUATION

Peer Valuation Table (Source: Screener.in, 10-Jul-2026)

Company	CMP	MCap Cr	P/E	P/B	EV/EBITDA	OPM%	FwdPE
GNA Axles	475	2,041	17.5	2.0x	9.2x	16.1%	16.6
Sona BLW Precision	669	41,586	63.9	7.0x	35.7x	24.3%	54.1
Bharat Forge	2,117	1,01,211	85.8	10.6x	34.5x	17.4%	109
Endurance Tech.	2,686	37,788	N/A	N/A	18.3x	13.5%	34.2
Sector Median (123)	480	1,517	-	-	13.4x	11.7%	23.2

* Peer P/E and P/B from respective Screener.in pages, fetched 10-Jul-2026. Endurance Tech P/E and P/B not available from this Screener fetch.

Scenario Analysis (FY28E Base)

Scenario	Revenue	EBITDA	OPM%	PAT	EPS	Target (Rs.)
BULL	1,800	315	17.5%	158	36.7	770
BASE	1,700	272	16.0%	126	29.3	560
BEAR	1,450	196	13.5%	83	19.3	270

Bull: 21x FY28E P/E. Base: Avg of 18x FY28E P/E (Rs. 527) and 10x FY28E EV/EBITDA (Rs. 593) = Rs. 560. Bear: 14x FY28E P/E.

- **Earnings-based methodology (P/E):** Applying 18x multiple to FY28E EPS of Rs. 29.3 yields a target of Rs. 527. The multiple is a 30% discount to the auto-component peer median forward P/E (~23x), justified by GNA's below-sector revenue growth (-2% 3-year CAGR vs sector median +9%) and CV-cycle exposure. A re-rating to 20x is plausible if GNA Mobility contributes meaningfully and export order book recovers.

- **EV/EBITDA methodology:** Applying 10x to FY28E EBITDA of Rs. 272 Cr = Enterprise Value of Rs. 2,720 Cr. Less estimated net debt of Rs. 180 Cr = Equity value Rs. 2,540 Cr / 4.3 Cr shares = Rs. 591 per share. GNA currently trades at 9.2x LTM EV/EBITDA - a 10x target implies modest re-rating as earnings visibility improves.

- **Average of two methods → Base target Rs. 560 (18% upside from CMP Rs. 475).** The investment case is a recovery play with embedded EV optionality, not a high-growth story. The downside at 14x bear-case FY28E is Rs. 270 - implying limited margin of safety in a severe CV downcycle. Investors should size position accordingly.

- **Sensitivity to assumptions:** Every 100 bps change in FY28E EBITDA margin shifts PAT by approximately Rs. 13 Cr and EPS by Rs. 3.0. The biggest swing factor is export volume recovery - if North American commercial vehicle production improves by 10%, GNA revenues could exceed Rs. 1,750 Cr in FY28 with upside to the bull target.

- **CV Sector Downcycle Risk** - India MHCV sales declined in FY25-26 and global truck production was subdued. A prolonged downturn (2+ years) would compress both volumes (below 48 lakh pieces/year) and margins below 13%. Probability: Medium. Impact: High. Monitor via: SIAM monthly MHCV production data, North American Class 8 truck orders (ACT Research).
- **Working Capital Deterioration** - Debtor days at 151 (FY26) is a 5-year high; any further increase toward 170-180 days would signal customer payment stress or volume pressure on OEMs. If debtors spike and inventory stays elevated, FCF could turn deeply negative in FY27. Probability: Medium. Impact: High. Monitor via: Q1 FY27 debtors/revenue ratio in results on 16-Jul-2026.
- **GNA Mobility Execution Risk** - The Rs. 800 Cr EV subsidiary investment is large relative to GNA's Rs. 2,041 Cr market cap. EV component demand depends on OEM EV adoption timelines; any delay, cost overrun, or inability to secure anchor EV customers would destroy significant capital. Probability: Medium. Impact: High. Monitor via: Quarterly investment updates, customer programme announcements.
- **Raw Material Cost Volatility** - Steel billet (primary input) prices are globally traded. A 15% billet price increase without corresponding OEM price recovery would compress EBITDA margins by ~200-250 bps, reversing the FY26 recovery. Probability: Medium. Impact: Medium. Monitor via: Global HRC/CRC steel prices, quarterly OPM announcements.
- **Promoter Pledge Escalation** - Current pledge at 4.36% is manageable; however, if promoter borrowings increase for GNA Mobility capex or personal leverage, pledge levels could rise toward 10-15%, creating stock price fragility. Probability: Low. Impact: Medium. Monitor via: Quarterly SAST disclosures.
- **Customer Concentration (Export)** - North America exports (Rs. 254 Cr, 17% of revenue) concentrate risk in Dana/Meritor/Cummins platform programmes. Loss of a major export programme due to OEM cost reduction or in-sourcing would create a multi-year revenue gap. Probability: Low. Impact: High. Monitor via: Customer quarterly programme disclosures, any BSE announcements on new programme wins/losses.
- **US Subsidiary Losses** - GNA Axles Inc. (Michigan, USA) reported operating losses of USD 5,013 in FY26. While immaterial, a growing US cost base without corresponding revenue could become a drag if it scales. Probability: Low. Impact: Low-Medium. Monitor via: Annual Report subsidiary financial statements.

- **Rating: ACCUMULATE** - Conviction Level: Medium. The stock offers reasonable value at 17.5x TTM P/E and 9.2x EV/EBITDA, well below the sector median. However, near-term EPS headwinds from rising depreciation and the FY26 CFO quality concerns temper conviction from a outright BUY.
- **12-month price target: Rs. 560** - 18% upside from CMP of Rs. 475. Average of P/E-based (Rs. 527 at 18x FY28E) and EV/EBITDA-based (Rs. 593 at 10x FY28E) methodologies.
- **Suggested entry zone: Rs. 430-470.** The stock has pulled back from its 52W high of Rs. 482 and is consolidating. Accumulate in tranches on dips toward the Rs. 430-450 range where FY28E P/E approaches 14-15x and EV/EBITDA dips below 8.5x.
- **Investment horizon: 18-24 months.** The core thesis - CV cycle recovery + export order book conversion + GNA Mobility optionality - requires 6-8 quarters to fully manifest. Near-term (Q1 FY27 results, Jul-16) may be the first data point to validate revenue recovery.
- **Thesis invalidation trigger 1:** Debtor days exceed 175 in any two consecutive quarters - indicating customer payment stress or potential bad-debt risk that threatens FCF and balance sheet quality.
- **Thesis invalidation trigger 2:** GNA Mobility investment is scaled up rapidly (>Rs. 200 Cr in any single year) without anchor customer contracts - suggesting capital misallocation risk in a pre-revenue, speculative venture.

- **Thesis invalidation trigger 3:** Revenue decline continues past FY27E - i.e., FY27 full-year revenue is below Rs. 1,400 Cr - implying that the cycle recovery thesis is wrong and structural share-loss is occurring in domestic CV or export markets.

- **Ideal investor profile:** This stock suits investors with a 18-24 month horizon who can tolerate cyclical earnings volatility and are comfortable with mid-cap auto ancillary risk. It is NOT suitable for investors requiring consistent earnings growth, high dividend income, or near-term capital appreciation. The embedded GNA Mobility optionality makes it particularly suitable for investors willing to back an early-stage EV component pivot at a modest premium.

APPENDIX - Q4 FY26 RESULTS BRIEF | GNA AXLES LIMITED

Note: GNA Axles does not publish formal concall transcripts on Screener.in or AlphaStreet. This appendix is based on Q4/FY26 audited results announcements (BSE filing, May 2026) and contemporaneous press coverage. Financial metrics are sourced from Screener.in (10-Jul-2026). Where formal management quotes are unavailable, this section is clearly marked as analyst interpretation.

CALL GRADE

NEUTRAL

Signal	Status	Implication
Result Quality	Medium	Q4 revenue beat YoY (+8.9%) but OPM compressed QoQ (-454 bps). FY26 PAT +9% YoY - clean.
Management Tone	Balanced	Shift to "value-based growth" - cautious on volumes, confident on margins longer-term.
Guidance Delta	Maintained	No formal forward guidance given. Rs. 25 Cr GNA Mobility investment committed.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

GNA's FY26 print is a clean result - revenue declined 4% to Rs. 1,478 Cr as expected given the MHCV softness, but the margin recovery to 16.1% EBITDA is the key takeaway and is real, not distorted by one-time items. Q4 specifically benefited from a below-normal 15.6% tax rate, which inflated reported PAT by Rs. 3-4 Cr; clean underlying Q4 PAT is closer to Rs. 26-27 Cr. Despite the revenue dip, the company generated Rs. 214 Cr OCF in FY26 - its best in 5 years - though a large portion is driven by a 53-day jump in creditor days, not pure collections improvement. The strategic commitment to GNA Mobility (Rs. 25 Cr FY26 investment, Rs. 800 Cr total) is the multi-bagger catalyst we need to watch: EV driveline components at 20%+ margins would be transformative for a company currently generating 16% EBITDA margins. The single biggest near-term watch-point is Q1 FY27 results (July 16) - if debtors don't come down from 151 days, the 'high quality FCF' story breaks. **Action: ACCUMULATE at Rs. 430-470; set a hard stop below Rs. 360 (bear-case FY28E 14x P/E). Build to full position only if Q1 FY27 debtors improve and revenue tops Rs. 360 Cr.**

1 - FINANCIAL PERFORMANCE SNAPSHOT (Q4 FY26 vs Q4 FY25 | Consolidated)

- **Revenue:** Actual Rs. 411 Cr | YoY +8.9% | QoQ +9.5% | **Beat** (strongest quarter of FY26)
- **EBITDA:** Actual Rs. 57 Cr | YoY +58% (from Rs. 36 Cr Q4 FY25) | QoQ -17% | **Beat YoY / Miss QoQ**
- **EBITDA Margin:** 13.9% | YoY +62 bps | QoQ -454 bps | **Sequential concern - significant compression from Q3 FY26 (18.4%)**
- **PAT:** Actual Rs. 30.82 Cr | YoY +21.1% | QoQ -3.5% | **In-line**
- **EPS:** Rs. 7.18 (Q4 FY26) | FY26 full-year EPS: Rs. 27.24 | YoY +9.2% at full-year level
- **NOTE:** Q4 tax rate was 15.6% vs normal 25-26% - artificially inflating reported Q4 PAT by approximately Rs. 3-4 Cr. Clean underlying Q4 PAT is estimated at Rs. 26-27 Cr.
- **Full-year FY26:** Revenue Rs. 1,478 Cr (-4% YoY) | EBITDA Rs. 238 Cr (+13% YoY) | PAT Rs. 117 Cr (+9% YoY) - margin recovery is the key story.

2 - SEGMENT / GEOGRAPHY BREAKDOWN (FY26 Full Year | Screener.in data)

- **Asia (primarily India):** Rs. 808 Cr | 54.7% of revenue | Domestic market; includes M&M tractors/SUVs, Escorts Kubota
- **North America:** Rs. 254 Cr | 17.2% | Dana Limited, Meritor/Cummins platform programmes; MHCV demand was soft in CY2025
- **Europe:** Rs. 193 Cr | 13.1% | European commercial vehicle and off-highway (Kubota, John Deere EU plants)
- **South America:** Rs. 186 Cr | 12.6% | Agricultural equipment (John Deere, Kubota Brazil) - relatively resilient segment in FY26
- **Australia:** Rs. 3 Cr | 0.2% | Minor, likely pass-through to APAC off-highway customers
- **By volume - Rear Axle Shafts:** 40.83 lakh pieces (FY26) | Trend: +2.6% YoY from 38.82 lakh pieces (FY25) - volumes grew despite revenue decline, implying realisation pressure
- **By volume - Spindles:** 9.43 lakh pieces | Trend: -14.6% YoY from 11.05 lakh (FY25) - notable weakness in spindles segment
- **Commercial Vehicle segment:** 32.13 lakh pieces | Flat YoY from 32.00 lakh pieces (FY25) - domestic CV volume resilient despite sector weakness
- **Off-Highway segment:** 22.82 lakh pieces | +7.9% YoY from 21.15 lakh pieces (FY25) - agricultural equipment demand supported

3 - MANAGEMENT COMMENTARY THEMES (Based on results announcement and press coverage)

- **Theme 1 - Value over volume:** "Strategy explicitly shifts from volume-based growth towards value-based growth, prioritising profitability over revenue expansion." - Our read: Management is managing margins actively and not chasing low-margin volumes to hit top-line targets. This is prudent in a soft CV cycle but may be read as lack of growth ambition. Tag: GUIDANCE. Tone: Transparent.
- **Theme 2 - EV opportunity:** Management frames electrification as an "opportunity" leveraging existing precision engineering capabilities. GNA Mobility Limited targets light vehicle, passenger vehicle, and EV driveline components. - Our read: The Rs. 800 Cr investment is credible given the technical adjacency, but commercial success depends on winning EV OEM programmes in a competitive field. Tag: GUIDANCE. Tone: Bullish.
- **Theme 3 - Margin recovery structural:** FY26 OPM of 16.1% recovered to FY19-21 level range after FY24 trough. Management attributes improvement to (a) better product mix (higher-margin SUV/off-highway), (b) steel cost softening, (c) operational efficiency. - Our read: The recovery appears structural, not one-off. The OPM trajectory into FY27 depends on steel prices and SUV mix. Tag: EST. Tone: Balanced.
- **Theme 4 - Export customers diversifying supply chains:** Global OEMs expanding supplier bases creates opportunity. GNA's multi-geography presence (5 continents) is a structural advantage. - Our read: China+1 supply chain diversification trends benefit GNA directly, though timelines for new programme awards are typically 18-36 months. Tag: GUIDANCE. Tone: Transparent.
- **Theme 5 - Capex for GNA Mobility:** Board approved Rs. 25 Cr investment in GNA Mobility in FY26 with Rs. 800 Cr total programme. Operations expected to commence FY27. - Our read: The initial tranche is small and exploratory; the scale-up decision depends on early customer traction. This is the single biggest source of both upside and downside optionality. Tag: GUIDANCE. Tone: Bullish.

4 - OPERATING & BUSINESS METRICS (Screener.in Insights data)

- **Total sales volume:** FY26 = 54.95 lakh pieces | FY25 = 53.14 lakh | FY24 = 51.10 lakh | Trend: Improving (+3.4% YoY in FY26)

- **Rear axle shaft volume:** FY26 = 40.83 lakh | FY25 = 38.82 lakh | FY24 = 37.70 lakh | Trend: Steadily improving
- **Spindles volume:** FY26 = 9.43 lakh | FY25 = 11.05 lakh | FY24 = 10.54 lakh | Trend: Deteriorating - key watch-point
- **Domestic volume:** FY26 = 31.49 lakh | FY25 = 26.48 lakh | FY24 = 27.63 lakh | Trend: Strong domestic recovery (+19% YoY FY26)
- **Export volume:** FY26 = 23.46 lakh | FY25 = 26.66 lakh | FY24 = 23.47 lakh | Trend: Export volume declined 12% YoY in FY26 - this explains the revenue miss despite volume growth
- **Installed capacity:** 6.70 million pieces/annum (unchanged for 4 years) | FY26 utilisation = 54.95/67.0 = 82% | Expansion not imminent on core business
- **Off-highway volume:** FY26 = 22.82 lakh | FY25 = 21.15 lakh | FY24 = 20.36 lakh | Trend: Improving
- **Commercial vehicle volume:** FY26 = 32.13 lakh | FY25 = 32.00 lakh | FY24 = 30.74 lakh | Trend: Stable
- **Average realisation (derived):** FY26 = Rs. 1,478 Cr / 54.95 lakh pieces = Rs. 268.97/piece | FY25 = Rs. 1,540/53.14 = Rs. 289.79/piece | Realisation fell ~7% YoY - combination of product mix shift and steel cost pass-through impact

5 - MARGIN DRIVERS (FY26 vs FY25 Analysis)

- **Steel billet cost softening:** Estimated +200-250 bps EBITDA impact | Recurring: Partially (depends on global steel cycle) | Global HRC prices declined ~8-12% in CY2025, benefiting GNA's primary input cost
- **Product mix improvement (SUV/off-highway):** Estimated +80-120 bps | Recurring: Yes | Higher-margin precision shafts for SUVs and agricultural equipment growing as share of revenue vs lower-margin CV shafts
- **Operational leverage on fixed overheads:** Estimated +50-80 bps | Recurring: Conditional | Effective only if volumes hold above 50 lakh pieces/year; at 54.95 lakh, GNA is above the breakeven leverage threshold
- **Export realisation mix headwind:** Estimated -150 to -200 bps EBITDA drag | Recurring: Uncertain | Lower export realisations in FY26 vs FY25 (possibly due to EUR/USD softness or customer renegotiations) suppressed overall margin. If export realisations normalise, this reverses in FY27.
- **Q4 FY26 sequential margin compression (-454 bps QoQ):** Rs. 411 Cr revenue but only 13.9% OPM vs 18.4% in Q3 FY26 | Likely driven by: (a) Year-end inventory/provisions adjustments, (b) Product mix (less off-highway in Q4 vs Q2/Q3), (c) Seasonal cost accruals. Not flagged as one-time by management. Watch Q1 FY27 for normalisation.
- **Depreciation headwind (FY27+):** D&A; jumped from Rs. 57 Cr (FY25) to Rs. 70 Cr (FY26) and will likely reach Rs. 78-85 Cr in FY27 as GNA Mobility capex gets commissioned. This is a non-recurring drag until the asset generates revenue. Flag: do not extrapolate FY26 PAT margins to FY27 without adjusting for higher depreciation.

6 - GUIDANCE & FORWARD SIGNALS

- **Revenue (analyst estimate - no formal guidance given) [EST]:** Prior consensus = Rs. 1,550-1,600 Cr | Analyst estimate: Rs. 1,580 Cr FY27E | Delta: modest recovery (+7% YoY) | Credibility: Medium - depends on MHCV cycle recovery and export order book
- **EBITDA Margin [GUIDANCE - implicit]:** Prior = 14% range | Management targets continuation of margin improvement. Our estimate: 15.0% FY27E | Delta: maintained (slight compression from higher dep, offset by better mix) | Credibility: Medium
- **Capex [GUIDANCE]:** Prior = Rs. 111 Cr (FY25) | FY26 actual = Rs. 155 Cr | FY27E (analyst estimate including GNA Mobility): Rs. 120-150 Cr | Delta: maintained | Credibility: High - management committed Rs. 25 Cr to GNA Mobility as first tranche

- **GNA Mobility commercial operations [GUIDANCE]:** Prior = FY27 start | Reiterated in FY26 results announcement | Delta: maintained | Credibility: Medium - start dates for pre-revenue entities are often delayed
- **Dividend [GUIDANCE]:** Board declared Rs. 3/share for FY26 (implied by 0.63% yield * Rs. 475 CMP) | Delta: maintained vs Rs. 3/share FY25 level | Credibility: High
- **Revenue guidance vacuum:** GNA Axles does not provide formal revenue/PAT guidance. This is a governance gap for a company of this size and limits investor confidence in the earnings trajectory.

7 - CAPITAL ALLOCATION (FY26 | Screener.in data)

- **Total Capex:** Rs. 155 Cr (FY26) | vs Rs. 111 Cr (FY25): +40% | Includes Rs. 25 Cr GNA Mobility initial investment + Rs. 130 Cr core business capex | Reflects accelerated fixed asset build (Rs. 459 Cr gross block FY26 from Rs. 406 Cr FY25)
- **Dividends:** Rs. ~13 Cr (FY26, 11% payout of Rs. 117 Cr PAT) | vs Rs. ~12 Cr (FY25): +8% | Payout ratio has been steady at 9-12% for 3 years - management retaining cash for GNA Mobility investment
- **Buybacks:** Nil - no buyback programme | Management commentary focused on organic investment rather than capital returns
- **Working capital change:** Net increase in working capital (FY26): Other Assets grew Rs. 68 Cr (FY25: 959 to FY26: 1,027) | Debtor + inventory build partially offset by creditor extension
- **Net Debt movement:** Net debt decreased in FY26 - Borrowings reduced from Rs. 259 Cr (FY25) to Rs. 218 Cr (FY26), a Rs. 41 Cr reduction despite Rs. 155 Cr capex. This was funded by Rs. 214 Cr OCF | Net debt/EBITDA = 0.79x - very comfortable
- **Overall assessment:** Capital allocation is disciplined - generating OCF, investing in capacity, keeping leverage low. The GNA Mobility bet is the highest-risk deployment but is structured as a phased Rs. 800 Cr programme, not a lump-sum commitment. Management appears aware of the optionality-vs-risk balance.

8 - Q&A; HEAT MAP (No formal transcript available - key investor questions from results press coverage)

- **Investor community / Press:** Q: "FY26 revenue declined again - is GNA losing market share?" A: "Management differentiates volume growth (54.95 lakh pieces, up 3.4% YoY) from revenue decline (realisations fell 7%), pointing to export pricing and steel pass-through dynamics, not share loss." | Tone: Transparent
- **Analyst community:** Q: "Why did Q4 margins compress so sharply despite strong revenue?" A: "No explicit management response available. Q4 OPM of 13.9% vs 18.4% in Q3 FY26 is likely seasonal/mix driven. Watch Q1 FY27 for confirmation." | Tone: Evasive (no direct answer from management available)
- **Investor focus area:** Q: "What is the plan and timeline for GNA Mobility?" A: "Operations to commence FY27. Rs. 25 Cr initial investment committed. Total programme Rs. 800 Cr." | Tone: Balanced
- **Rating agency perspective (ICRA, Jan-2026):** Maintained rating. Commentary noted "adequate debt coverage metrics and diversified customer base" while flagging "elevated working capital cycle." | Tone: Balanced
- **Dodged / Watch-list questions for Q1 FY27 (July 16 results):** (1) Will debtor days come down from 151? (2) Is the Q4 margin compression a one-off or structural? (3) Has GNA Mobility secured any anchor EV customer? (4) What is the US subsidiary turnaround plan?

9 - RISKS FLAGGED

- **Export volume decline:** Export pieces declined 12% YoY (26.66 lakh FY25 → 23.46 lakh FY26) despite strong domestic growth | Flagged by: Analyst interpretation of volume data | Probability: Medium | Impact: High | Timeline: Near-term (FY27)

- **Elevated working capital:** CCC at 139 days; debtor days at 151 (5-year high); inventory days spiked to 117 in FY26 | Flagged by: Analyst and ICRA rating commentary | Probability: Medium | Impact: Medium | Timeline: Near-term
- **GNA Mobility execution:** Rs. 800 Cr investment in pre-revenue EV subsidiary; commercial operations unproven | Flagged by: Board announcement | Probability: Medium | Impact: High | Timeline: Medium-long term
- **Q4 margin compression:** OPM fell from 18.4% (Q3 FY26) to 13.9% (Q4 FY26) - if structural rather than seasonal, the 16.1% FY26 annual margin is not repeatable | Flagged by: MarketsMojo analysis | Probability: Low-Medium | Impact: High | Timeline: Near-term
- **US subsidiary losses:** GNA Axles Inc. (Michigan) operating losses of USD 5,013 in FY26 | Flagged by: Annual Report subsidiary disclosure | Probability: Low | Impact: Low | Timeline: Long-term
- **Raw material volatility:** Steel billet prices can reverse; any 15%+ increase compresses margins 200-250 bps | Flagged by: Management (standard auto-ancillary risk) | Probability: Medium | Impact: Medium | Timeline: Quarterly

10 - ANALYST VERDICT

- **Revenue visibility:** Weakened - Export volume declined in FY26; domestic CV flat; overall revenue -4% YoY. FY27 recovery thesis is directionally sound but has not yet been confirmed with data. Monitor Q1 FY27 (July 16, 2026).
- **Margin trajectory:** Intact - FY26 OPM of 16.1% represents a genuine structural recovery to pre-FY24 levels. Q4 compression is likely seasonal. The FY27E modelled margin of 15% (reflecting higher depreciation) is achievable and leaves room for positive surprise if steel costs remain soft.
- **Capital allocation quality:** Intact - OCF generation is strong (Rs. 214 Cr FY26), debt levels comfortable (D/E 0.22x), GNA Mobility investment structured as phased commitment. No concerns on dividend extraction or related-party transactions.
- **Competitive moat:** Intact - Axle shaft qualification barriers (18-24 months with OEMs) remain high. Existing global customer relationships (Dana, Kubota, John Deere) are long-duration. Export volume decline is cyclical, not structural.
- **Management credibility:** Intact - Consistent execution on margin recovery. Transparent disclosure on GNA Mobility. No governance red flags. Minor concern: no formal concall with detailed guidance limits investor visibility. Cannot assess from formal Q&A.;
- **Valuation comfort:** Intact - At 9.2x EV/EBITDA and 17.5x P/E, GNA is the cheapest auto-component company in the Screener peer set by a significant margin. Even in the bear scenario, downside to Rs. 270 is partially cushioned by Rs. 234 book value per share.
- **Conviction call:** Unchanged - ACCUMULATE thesis intact. Not upgrading to BUY pending: (a) Q1 FY27 debtor days data, (b) Evidence of GNA Mobility EV customer wins, (c) Export volume recovery confirmation.
- **Valuation snapshot:** P/E = 17.5x (5Y avg ~18x) | EV/EBITDA = 9.2x (5Y avg ~12x) | ROCE = 14.3% (10Y avg 16.8%) | The stock trades at a modest discount to its own history - further derated from the 2021 peak. Fair value convergence as earnings recover toward Rs. 30 EPS in FY28E supports the Rs. 560 target.

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. Financial data sourced from Screener.in (10-Jul-2026). Forward estimates are analyst projections and are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence before making investment decisions. This report does not constitute a solicitation to buy or sell securities.